MONETARY POLICY STATEMENT

JANUARY- JUNE 2008



BANGLADESH BANK

10 January 2008

Executive Summary

Introduction: The present MPS provides the monetary policy stance that BB intends to follow during the second half: January to June (H2) of FY08. The prime objective of the policy stance is to ensure the use of the financial instruments towards promoting real sector growth at its targeted level along with ensuring reasonable price stability. The policy stance takes into account recent developments in real, external, fiscal, and monetary sectors of the economy and the near term macroeconomic outlook for the remaining period of FY08.

Monetary Policy Stance, July-December 2007: A Brief Review: The policy stance was designed around a projected real GDP growth rate of 7.0 percent and an annual average CPI inflation within a range of 6.5 percent to 7.0 percent during FY08. However, the policy stance was moderated in the wake of several unexpected domestic shocks and unfavourable international developments. In particular, the policy stance faced several key challenges: (i) strong inflationary pressure emanating from both domestic and external sources that led the CPI inflation to overshoot the targeted range of 6.5 percent to 7.0 percent for FY08; (ii) low level of investment and overall economic activity resulting from natural disasters and shaken business confidence; (iii) lagged effects of higher than programmed monetary expansion during FY07 and earlier years; (iv) excess liquidity and relatively high spread between deposit and lending rates in the banking sector; (v) emergence of current account deficit resulting from widened trade deficit despite a healthy growth in workers' remittances; and (vi) disruption in normal economic activity, especially in the agriculture sector and the rural economy, due to two consecutive floods and a devastating cyclone and the urgent need to undertake relief and rehabilitation efforts.

Recent Global Developments: After achieving a robust growth of 5.4 percent in 2006, the global economy is projected to grow by 5.2 percent in 2007 and 4.8 percent in 2008. On the other hand, the developing world is likely to grow by 8.1 percent in 2007 and 7.4 percent in 2008.

Recent Macroeconomic Developments: In view of recent domestic and external developments, BB has revised the GDP growth rate to lie in the range of 6.0 percent to 6.2 percent in FY08. During FY07, the average CPI inflation was 7.2 percent; while BB projects that the average CPI inflation is likely to be in the range of 8.0 percent and 8.2 percent in FY08.

Given the present comfortable foreign exchange reserve position, BB would make the best possible judgments regarding the extent to which the recent developments in the external sector are likely to affect economic activities during the rest of the period of FY08. BB has introduced the required flexibility in implementation of its policies to meet the short term exigencies especially after the floods and the cyclone, such as ensuring the flow of adequate credit to productive sector like agriculture, SMEs, low cost housing, and other priority sectors and to women entrepreneurs.

Monetary Policy Stance for H2 FY08: The monetary policy stance for H2 FY08 aims at bringing about a qualitative change and a perceptible strategic shift in monetary policy formulation and its conduct to allow greater scope for supporting growth enhancing policies in line with emerging developments and requirements of the economy. The efforts would be directed at gearing up economic activities by encouraging adequate credit flows to all productive sectors especially for recouping the losses due to floods and cyclone and improving the domestic supply situation. A prime target would be the agriculture sector and the rural economy. The policies would also facilitate the import of essential commodities to ease the shortages in the

domestic market. At present, the excess liquidity existing with the DMBs does not indicate any significant demand side pressure on the economy. However, with expected increase in economic activities in the coming months, the demand for credit may go up and if such a situation arises the policy stance would be to contain the demand side pressures without hurting the investment demand in the economy.

In the past, BB has urged the banks to reduce their lending rates and improve the situation so that the cost of borrowing does not put undue pressure on investors. BB would continue its efforts to lower lending rates, increase competition among the financial intermediaries, and also urge the banks to use the excess liquidity to expand their credit operations. BB would continue to pursue strong monitoring and supervision measures so that financial institutions reduce administrative cost by improving managerial efficiency and reducing the burden of non-performing loans.

For successful implementation of the policy stance during H2 FY08, it would be critical to achieve greater fiscal and monetary coordination such that the imperatives of the monetary policy stance are clearly recognized within the policy framework and the relevant policy parameters are aligned with their projected values ensuring macroeconomic stability and rapid growth. BB, on its part, would remain vigilant regarding the above and any other unexpected developments and unfolding situations. The availability of new data and information may necessitate the revision and adaptation of some of the monetary instruments presented in this MPS using the flexible framework of the monetary policy stance for the period H2 of FY08 with the aim to promote rapid growth with price stability and support accelerated pace of employment creation and income generation for the people of Bangladesh.

1. INTRODUCTION

1. The Bangladesh Bank (BB) has been announcing its monetary policy stance on a bi-annual basis through the Monetary Policy Statement (MPS) since January 2006. The policy stances envisage repo, reverse repo, and BB bill rates as the routinely employed policy instruments for influencing financial and real sector prices towards the targeted path of inflation. The annual monetary programmes adopt the reserve money (RM) and broad money (M2) as intermediate targets; supported by a framework for regular tracking of other asset and liability side sub-aggregates. The present MPS provides the monetary policy stance that BB intends to follow during the second half: January to June (H2) of FY08. The prime objective of the policy stance for H2 FY08 is to ensure the use of the financial instruments towards promoting real sector growth at its targeted level along with reasonable price stability. The policy stance takes into account recent developments in real, external, fiscal, and monetary sectors of the economy and the near term macroeconomic outlook for the remaining period of FY08.

2. MONETARY POLICY STANCE, JULY-DECEMBER 2007: A BRIEF REVIEW

2. The monetary policy stance for Bangladesh for the first half (H1) of FY08 was announced through the MPS in July 2007. Keeping in view the BB's overall objective of supporting the highest sustainable output growth along with maintaining price stability, the MPS for H1 FY08 reiterated its intention to follow a monetary policy primarily to arrest the uptrend in inflationary tendency and reduce inflation expectations. The monetary policy stance for H1 FY08 was designed around a projected real GDP growth rate of 7.0 percent and an annual average CPI inflation within a range of 6.5 percent to 7.0 percent during FY08.

3. The MPS mentioned that BB would regularly review its policy rates and SLR/CRR of banks in order to ensure consistency with unfolding price developments. The major emphasis of the policy stance was on providing necessary support towards achieving the desired rate of economic growth.

4. Over the last six months, the policy stance announced in July 2007 was moderated in the wake of several unexpected domestic shocks and unfavourable international developments that brought about significant changes in the macroeconomic scenario. The domestic production, especially in the agriculture sector, was severely affected by two consecutive floods and a devastating cyclone along with extensive loss and damage to human lives, infrastructure, and other assets that would require some time to repair and reconstruct as well as significant financial and other resources. At the international level, the prices of most of the commodities including oil that Bangladesh imports have witnessed unprecedented rise creating significant upward pressure on domestic prices leading to increase in the inflation rate beyond the targeted level.

5. In the backdrop of the above developments, the monetary policy stance for H1 FY08 faced the following key challenges:

- Strong inflationary pressure emanating from both domestic and external sources that led the CPI inflation to overshoot the targeted range of 6.5 percent to 7.0 percent for FY08;
- Low level of investment and overall economic activity resulting from natural disasters and shaken business confidence;
- Lagged effects of higher than programmed monetary expansion during FY07 and earlier years;
- Excess liquidity and relatively high spread between deposit and lending rates in the banking sector;
- Emergence of current account deficit resulting from widened trade deficit despite a healthy growth in workers' remittances;
- Disruption in normal economic activity, especially in the agriculture sector and the rural economy, due to two consecutive floods and a devastating cyclone and the urgent need to undertake relief and rehabilitation efforts;

6. The MPS for H2 FY08, therefore, makes appropriate adjustments in the monetary policy stance using revised growth and inflation projections in the backdrop of recent domestic and global developments, as presented below, and their likely outcomes during the remaining period of FY08.

3. RECENT GLOBAL DEVELOPMENTS

7. After achieving a robust growth of 5.4 percent in 2006, the global economy is projected to grow by 5.2 percent in 2007 and 4.8 percent in 2008 (IMF, WEO, October 2007). On the other hand, the developing world is likely to grow by 8.1 percent in 2007 and 7.4 percent in 2008. This positive outlook, however, is subject to significant risks, such as higher oil prices, volatile exchange rates in the major economies, higher global food inflation, dullness in the housing market in major economies especially in the US, significant pressure on global inflation, and a slower growth outlook for Japan and the Euro area. Prior to these recent turbulences, central banks around the world were generally moving towards tight monetary policy to face the challenge of maintaining non inflationary growth. However, in view of the potential adverse impact of tightened credit condition in restraining economic growth, the Federal Reserve Bank of the US reduced the federal fund rate while the Bank of Japan and European Central Bank kept their policy rates unchanged at early 2007 levels. On the other hand, the Bank of England continued to follow the tightened policy. The reaction among the emerging market economies was mixed; while some central banks eased the monetary policy, others tightened it further.

4. RECENT MACROECONOMIC DEVELOPMENTS

Growth Outlook for FY08

8. The objective of BB's monetary policy is to support maximum sustainable growth along with macroeconomic stability in general, price stability in particular, such that Bangladesh can become a member of the *'middle income group country'* by the end of the next decade. The country's real GDP has been growing at an annual average rate of more than 6 percent over the last five years.

9. Although the MPS of H1 FY08 used a projected GDP growth rate of 7.0 percent for FY08, recent domestic and international developments including recurrent floods, devastating cyclone (Sidr), temporary disruption in domestic supply, and persistent price hike of essential commodities in the international market have adversely affected the economy's growth prospects requiring a downward adjustment in the projected GDP growth rate for FY08.

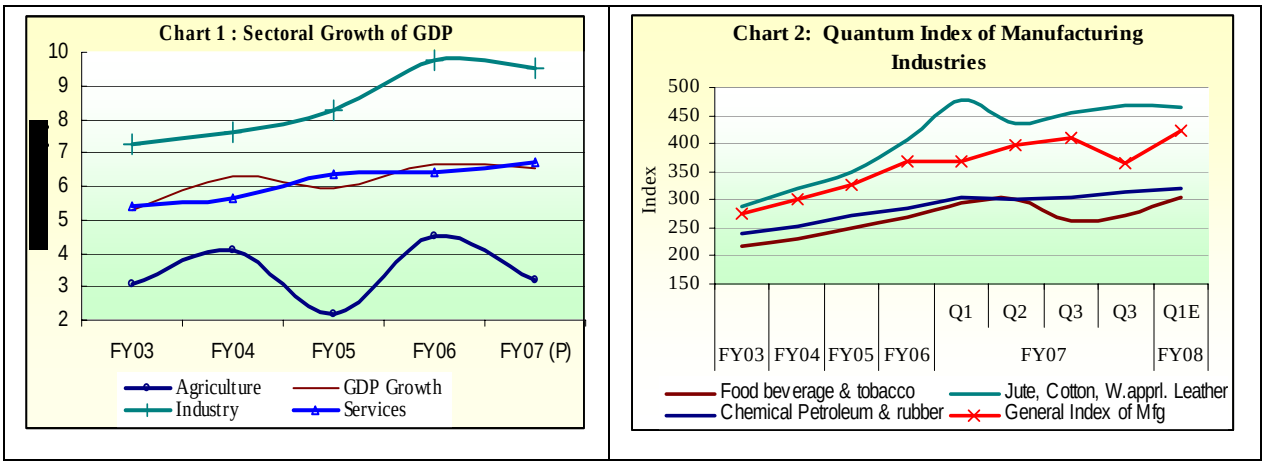
10. BB has, therefore, revised the GDP growth rate downward to lie in the range of 6.0 percent to 6.2 percent from the recent projection of the Policy Analysis Unit (PAU) of BB for FY08. According to the projections, the agriculture sector is likely to grow at a rate lying between 2.3 percent and 2.5 percent in FY08 compared with the growth of 3.2 percent in FY07. However, it is possible to achieve even a higher growth in agriculture through recouping the losses especially to the *aman* crop and other agricultural sub-sectors due to consecutive floods during July-September 2007 and the devastating cyclone in mid-November 2007, through significantly increasing crop production during the *boro* season (*boro* rice contributes more than 55 percent of the country's total rice production) and rapidly implementing rehabilitation measures in other sub-sectors. BB has taken steps to ensure timely disbursement of adequate agricultural credit and this needs to be supported by measures by the government to ensure adequate supply of agriculture inputs (such as, fertilizer, power, diesel, and good quality seeds) through streamlining the input distribution system. A comprehensive rehabilitation programme is also necessary in the cyclone affected areas.

Table 1: Selected Economic Indicators

	FY05	FY06	FY07	Oct. 2007
Average inflation				
CPI	6.49	7.16	7.20	8.25
Food	7.90	7.76	8.11	9.29
Non-food	4.33	6.40	5.90	6.72
Point-to-point inflation				
CPI	7.35	7.54	9.20	10.06
Food	8.73	8.81	9.82	11.73
Non-food	5.32	5.73	8.34	7.42
Economic growth				
Real GDP	5.96	6.63	6.51	--
Agriculture	2.20	4.94	3.18	--
Industry	8.28	9.74	9.51	--
Services	6.40	6.40	6.74	--

11. BB projects the industry sector growth to lie between 8.5 percent and 8.7 percent in FY08 which was 9.5 percent in FY07. In recent years, growth in the industry sector has been driven by the export oriented manufacturing sector. Although export earnings declined by 5.4 percent in the first quarter of FY08 due mainly to a decline in export of

readymade garments, the situation has improved since then and the export earning is likely to rebound soon. The projections suggest that industry sector growth in FY08 is likely to be driven by large scale manufacturing industries growth between 8.7 percent and 8.9 percent and a robust growth between 10.9 percent and 11.1 percent for SMEs facilitated by the focused support programmes adopted by the government and the BB. The construction sector, which experienced a relatively slow growth in FY07, is expected to benefit from the strong growth in remittances and BB's refinance programme for housing at a lower rate. Based on year-on-year basis, the growth of credit to the private sector at the end of October 2007 was 16.3 percent as against 15.1 percent at the end of June 2007 indicating a rebound in the industrial growth potential in FY08. The services sector is expected to grow at a rate between 6.1 percent and 6.3 percent compared with 6.7 percent in FY07.

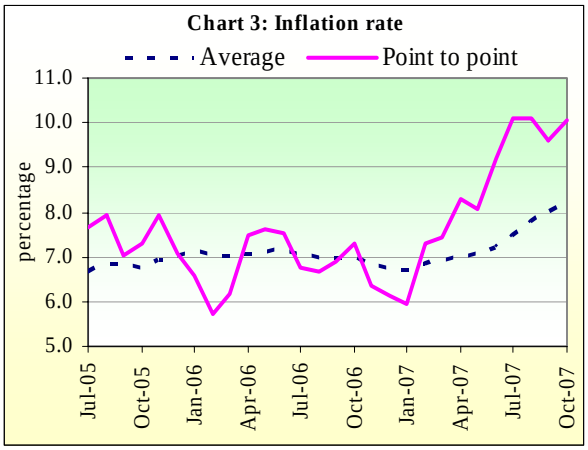


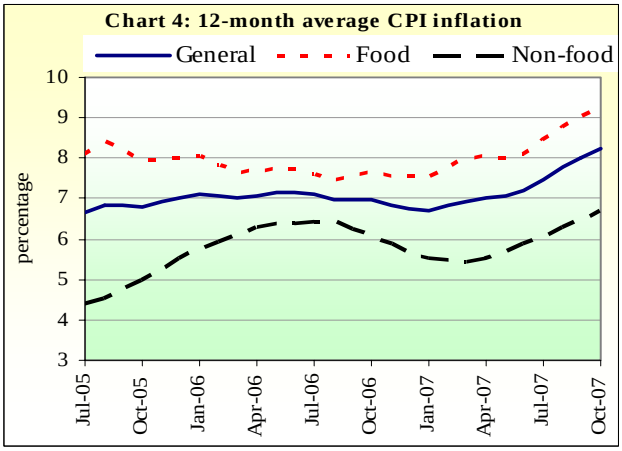
Recent Inflationary Trends and FY08 Outlook

12. The FY07 ended with a CPI inflation rate of 7.2 percent in June 2007 that exceeded the FY07 target of 7.0 percent. The strong inflationary pressure inherited from FY07 along with adverse changes in prospects for domestic production (mainly due to floods and cyclone) and the persistently rising prices in the international commodity market led to a steady rise in the inflation rate since the beginning of FY08. It picked up to 8.25 percent in October 2007 overshooting the July 2007 MPS projection of the average inflation rate between 6.5 percent and 7.0 percent for FY08. On point-to-point (p-t-p) basis, the rise in the inflation rate was higher; it went up from 9.20 percent in June 2007 to 10.12 percent in August 2007 and slightly moderated to 10.06 percent in October 2007.

13. The rise in the inflation rate in H1 FY08 can be attributed more to supply constraints caused by both external and internal shocks, while the demand factors remained mostly subdued as evidenced from the existence of huge excess liquidity in the banking system. This has been mainly due to deceleration in economic activities following natural calamities, reform measures, and administrative drives against corruption and tax evasion. Moreover, Bangladesh being an import-dependent country, the economy

remains highly susceptive to price changes in international commodity markets especially that of food items.





14. In the international market, the prices of fuel items increased at rates between 24 percent and 45 percent and that of food items rose by between 5 percent and 67 percent over the year ending in September 2007. The international commodity price index, which includes both fuel and non-fuel price indexes, increased by around 61 percent in September 2007 over the preceding one year, largely dominated by resurgence of oil and food prices. Among the food items, prices of edible oil and wheat increased the most, both by an unprecedented 68 percent during the period. Since the weight of food items in total CPI and imports is relatively high in Bangladesh, increase in food prices in the international market puts a significant pressure on the cost of living in direct and indirect ways.

15. In recent months, the inflation rate for most of our trade partners and countries in the region has shown upward trend. The headline inflation was 2.8 percent in the US and 2.1 percent in the Euro area in September 2007 as compared with 2.7 percent and 1.9 percent respectively in June 2007. Amongst our Asian trade partners, consumer price inflation in China, Thailand, and Indonesia increased to 6.2 percent, 2.1 percent, and 7.0 percent respectively in September 2007 from 4.5 percent, 2.0 percent, and 6.3 percent in June 2007. The consumer price inflation in India stood at 6.6 percent in October 2007 as compared with 5.7 percent in June 2007. The inflation rate (on point-to-point basis) in Pakistan and Sri Lanka also went up to 9.3 percent and 19.6 percent respectively in October 2007 from 7.0 percent and 13.0 percent in June 2007.

16. Nevertheless, the developments in the domestic front during H1 FY08, especially two consecutive floods in July-September 2007 and the devastating cyclone (Sidr) in mid-November 2007 including holdback in export demand, labour unrest in the RMG sector, and shaken business confidence acted as significant impediments to GDP growth, aggravated the supply disruptions, and fueled inflation during the period. To face the post-flood and post-Sidr crises, BB has raised the target for disbursement of agricultural credit by 32 percent to Tk. 83.7 billion and has taken steps to ensure smooth flow of credit to SMEs, small housing, women entrepreneurs, and to other productive

sectors. Meanwhile, about Tk. 5.7 billion has been disbursed under the Small Enterprise Fund (SEF) up to end-November 2007. To boost up the activities in the housing sector, BB has introduced a housing refinancing scheme of Tk. 3.0 billion to meet the credit demand of middle and low income groups. Special credit facilities have also been arranged for fishing and timber businesses under the post-Sidr reconstruction and rehabilitation programmes. The disbursement of agricultural credit went up to Tk. 25.0 billion during July-November 2007 compared with Tk. 17.5 billion during the same period of the last year. Moreover, the government has taken several measures to ease the inflationary pressure which include withdrawal of import duties, importation of food grain by the government, strengthening of internal procurement, provision for subsidy on fertilizer and diesel, and widening of the social safety nets programmes. BB sold foreign exchange worth USD 185.0 million during H1 of FY08 to ease the pressure on foreign exchange due to increased import of food and other essential items. Besides, the banks have been encouraged to provide credit facilities on softer terms to new importers, ease the LC margin for food items, extend the time limit for customer facility, and arrange a greater flow of agricultural credit especially to the disaster affected areas.

17. In view of the buoyant global demand in the face of tight world supply and present domestic supply constraints, the supply side factors are likely to play the major role in moderating the inflationary pressure in the economy and determining the course of inflation in H2 FY08. BB's policy stance would support domestic output growth, especially agricultural production and production in the SME sector, along with keeping the demand side pressures under control so that inflation expectations remain subdued.

18. During FY07, the average CPI inflation was 7.2 percent; with the average food and non-food inflation of 8.1 percent and 5.9 percent respectively. BB has revised PAU's recent inflation projection and projects that the average CPI inflation is likely to lie in the range of 8.0 percent and 8.2 percent in FY08. It is also projected that during FY08 the average food inflation would remain between 9.1 percent and 9.3 percent while the range of non-food inflation is likely to be between 6.4 percent and 6.6 percent.

Recent External Sector Developments

19. The trade deficit widened to USD 1,739 million during the first four months of FY08 as a result of robust import growth (by 19.5 percent on adjusted fob basis) and negative export growth (by 3.1 percent on adjusted fob basis). As a result, despite a healthy growth in workers' remittances (by 28.7 percent over the same period), the current account balance showed a deficit (USD 229 million) in July-October 2007 as against a strong surplus (USD 334 million) in the same period of 2006. However, with the causal factors underlying the decline in RMG exports taken care of, there are signs that export growth would soon bounce back to its trend level and Bangladesh would be able to maintain reasonable external sector stability during FY08 through materializing its good export prospects, ensuring the present healthy growth in the inflow of workers' remittances, and maintaining a strong foreign exchange reserve position.

20. Since the beginning of FY08, the foreign exchange market has remained orderly although Taka exhibited marginal appreciation against USD as of end December 2007 indicating healthy situation in the balance of payments, build up of foreign exchange reserves, and appropriate policy stance of the Bangladesh Bank, such as intervention by sale of USD in the inter bank market. During the period, the nominal effective exchange rate (NEER) appreciated while the real effective exchange rate (REER) depreciated. Despite some appreciation in the nominal exchange rate, the rate remained higher than the REER based exchange rate as a result of which Bangladesh enjoyed some competitiveness in the international market.

Table 2: Exchange Rate Movement

	FY05	FY06	FY07	Nov. 2007
Nominal ER (Period avg. Tk./USD)	61.39	67.08	69.03	68.62
Nominal ER (End period Tk./USD)	63.75	69.67	68.80	68.61
NEER	70.13	64.02	62.18	59.81
REER	91.74	86.90	89.65	90.84
REER based ER	58.49	60.60	61.68	62.32

21. Given the present comfortable foreign exchange reserve position, the appreciation of Taka would contribute towards easing the inflationary pressure at least in part by discouraging the pass through of international prices on domestic inflation. Nevertheless, recognizing the multidimensional nature of current inflationary forces, Bangladesh Bank will make the best possible real-time judgments regarding the extent to which the recent developments in the external sector are likely to affect economic activities during the rest of the period of FY08.

Fiscal Sector Developments

22. In the FY08 budget, total current expenditure is set at Tk. 529.0 billion while total development expenditure is Tk. 285.2 billion. The overall budget deficit is projected at Tk. 223.1 billion (4.2 percent of GDP excluding grants and BPC), to be funded by Tk. 42.6 billion in foreign grants, Tk. 63.1 billion in net foreign borrowing, and Tk.192.8 billion in domestic borrowing including bank borrowing of Tk. 72.5 billion. The BPC's accumulated loss of Tk. 75.2 billion is included in the budget although this would not create any immediate additional fiscal liabilities as it would be financed by issuing 'Non-Cash Bonds'.

23. Since the beginning of FY07, a modified arrangement for government bank borrowing was put in place under the supervision of a Cash and Debt Management Committee (CDMC). The new arrangement included a widened ways and means advance limit (Tk. 10.00 billion instead of the earlier amount of Tk. 0.64 billion) and auction of Treasury bills and bonds according to volumes pre-announced in the borrowing calendar. This new arrangement segregated the BB's role in government

Table 3: Government Fiscal Operation

	FY05	FY06	FY07	FY08	
				Budget	Sep.2007
As percent of GDP					
Revenue	10.47	10.53	10.23	10.81	2.18
Expenditure	13.45	13.76	13.84	16.43	3.01
Budget deficit	2.98	3.24	3.61	5.63	0.83
Financing	2.98	3.24	3.61	5.63	0.83
Domestic financing	1.63	2.02	1.99	3.63	0.59
Foreign financing	1.35	1.21	1.62	1.99	0.24

debt management from its monetary policy operations although there does not exist any in-built mechanism to limit government bank borrowing within the ceiling of budgetary provisions. Following the changed treasury rules, the BB holds Treasury bills and bonds at cut off rate if market supply of fund falls short of government's demand set by CDMC (known as devolvement). From Q4 FY07, BB was allowed to offload the devolved amount to the banks and financial institutions at the cut off rate of last auction for the remaining period. Since the beginning of FY08, the devolvement system has been replaced by a system where the extra amount has been devolved to the primary dealers on the basis of underwriting. It is expected that the new system would encourage the primary dealers to create a secondary market for government securities and contribute towards improving the quality of monetary management by BB.

24. In FY08, the targets for overall revenue earnings and expenditure have been fixed at 10.8 percent and 16.4 percent of GDP respectively. In the first four months of FY08, NBR tax revenue registered a 22.5 percent growth over the corresponding period of FY07. Among the NBR components, income tax recorded a growth of 44.7 percent compared with the growth of 20.8 percent during the same period of the last fiscal year. The flow of foreign fund also notably increased over the same period in the previous fiscal year. As such, the government (net) borrowing from the banking system has been much lower than the programme limit although the government is currently facing the challenge of funding the massive rehabilitation and reconstruction programme after the floods and the cyclone.

Recent Monetary Developments

25. Bangladesh Bank has been following a monetary policy stance since H2 FY05 aimed at containing demand side pressures that contribute to inflationary build up in the economy.

26. Despite significant pressure from rising prices in the international market and production shortfalls of major commodities in the domestic economy, an upward revision of the policy interest rates and reintroduction of BB bills in FY07 helped in limiting inflation at 7.2 percent, which is not far off the targeted rate of 7.0 percent for the year. However, the growth in M2 at the end of June 2007 exceeded the target (actual of 17.0 percent as against the target of 14.7 percent) and the growth rate of private sector credit was 15.1 percent compared with the programmed rate of 13.9 percent and the previous year's growth rate of 18.3 percent. The net foreign assets of the banking system maintained its growing trend

Table 4: Trends in Private Sector Credit

(in billion Taka)

	FY05	FY06	FY07	Sept. 2007
Banks	1107.40	1309.70	1507.70	1563.00
Non-banks	51.50	63.00	76.60	76.30
Microfinance institutions	62.50	81.30	101.30	102.30
Total	1221.40	1454.00	1685.60	1741.60
Growth (in percent)				
Banks	17.01	18.27	15.12	15.94
Non-banks	28.11	22.33	21.59	18.29
Microfinance institutions	17.92	30.08	24.60	22.51
Total	17.49	19.04	15.93	16.41

which helped to build up the foreign exchange reserves that reached USD 5.5 billion by the end of H1 FY08. Keeping in view the price situation and enhanced excess liquidity emanating from the moderated demand for private sector credit and increase in net foreign assets, BB pursued growth supportive monetary policy stance in H1 FY08.

27. During H1 FY08, BB introduced the required flexibility in implementation of its policies to meet the short term exigencies especially after the floods and the cyclone, such as ensuring the flow of adequate credit to productive sector like agriculture, SMEs, low cost housing, and other priority sectors and to women entrepreneurs. Moreover, BB's response to disasters during the period has been reflected in the holding of installments of agricultural loans in disaster affected areas and the extension of loan amounting to nearly Tk. 127.5 billion by private banks as agricultural credit during FY08. The BB's refinance scheme for housing loans for lower and middle income groups was also put in place.

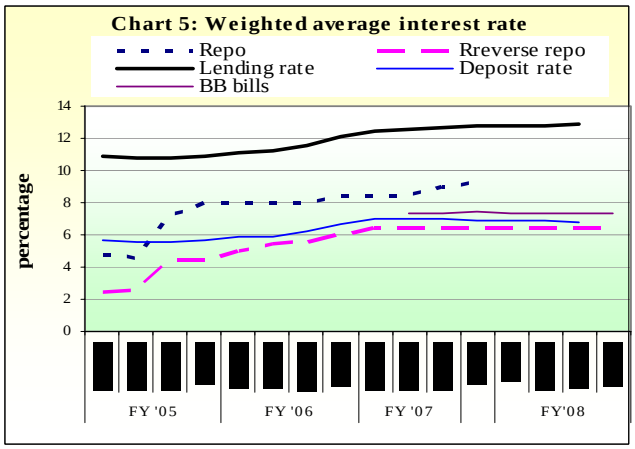
Table 5: Monetary Aggregates

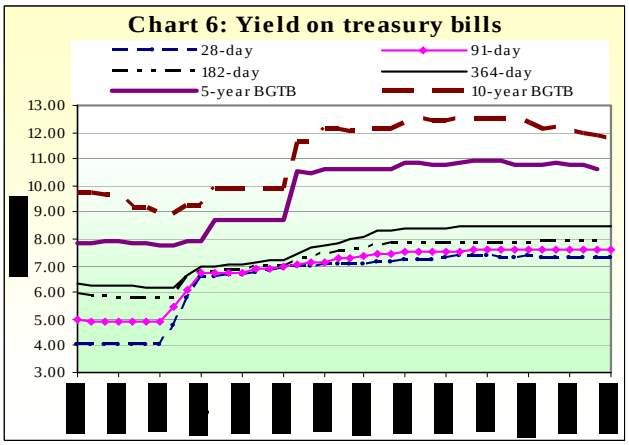
	June '05	June '06	June'07	Oct. '07 (y-o-y, % change)
Growth (in percent)				
1. Net foreign assets	14.33	17.89	49.43	49.20
2. Net domestic assets	17.17	19.73	12.54	9.65
Domestic credit	17.53	20.45	14.93	13.41
Credit to public sector (incl. government)	19.09	27.02	14.39	5.67
Credit to private sector	17.02	18.27	15.12	16.34
3. Reserve money	12.50	28.10	17.67	5.68
4. Narrow money	16.56	21.33	17.43	14.19
5. Broad money	16.81	19.51	17.02	14.23

Table 6: Interest Rate Development
(weighted average)

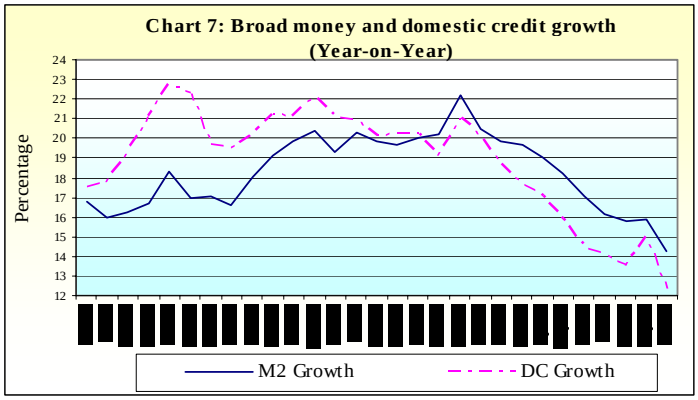
Period	Treasury bills				Bangladesh Bank bills		BGTB		Repo	Rev. repo	Call rate	Lending rate	Deposit rate
	28-day	91-day	182-day	364-day	30-day	91-day	5-year	10-year	1-2 day	1-2 day			
2006/07													
September	7.24	7.55	7.83	8.38	...	...	10.86	12.49	...	6.49	7.36	12.40	6.99
December	7.33	7.52	7.84	8.45	7.37	...	10.89	12.49	...	6.50	7.16	12.60	6.99
March	7.32	7.58	7.86	8.45	7.38	7.58	...	12.50	9.00	6.50	6.99	12.70	6.97
June	7.32	7.60	7.89	8.48	7.39	7.60	...	12.14	9.25	6.50	7.67	12.77	6.85
2007/08													
September	7.29	7.62	7.90	8.48	7.36	7.62	10.74	11.95	...	6.50	6.96	12.92	6.76
December	7.33	7.63	7.93	8.47	7.36	...	10.65	11.73	8.50	6.50	9.37	...	...

28. The period also recorded a reduction in the gap between short- and long-term rates of Government securities brought about by lowering the interest rates on long term Government securities in order to dampen inflation expectations. For reducing the pass through of international prices on domestic inflation, BB also undertook measures to arrest the depreciation of Taka so that the cost of imports does not rise too much. It may be mentioned that the BB has taken utmost care to minimize any potential adverse impact on exports and the inflow of remittances.





29. With the observance of financial discipline and introduction of significant reforms in the monetary arena, M2 recorded a growth of 14.2 percent (y-o-y) at end October 2007. The growth of private sector credit stood at 16.3 percent at the end of October 2007.



30. BB has taken steps to ensure close supervision on the performance of three state owned commercial banks (SCBs), Sonali, Janata and Agrani Banks, which have recently been transformed into public limited companies. This will help to improve their efficiency.

5. MONETARY POLICY STANCE FOR H2 FY08

31. In view of the urgent need to build smooth adjustment capacity to the internal and external shocks that the economy has faced during H1 FY08, the monetary policy stance for H2 FY08 would aim at bringing about a qualitative change and a perceptible strategic shift in monetary policy formulation and its conduct to allow greater scope for supporting growth enhancing policies in line with the emerging developments and

requirements of the economy. The efforts would be directed at gearing up economic activities by encouraging adequate credit flows to all productive sectors, especially to agriculture, SMEs, infrastructure, and other rural activities, for recouping the losses due to floods and cyclone and improving the domestic supply situation. The policies would also facilitate the import of essential commodities to ease the shortages in the domestic market. At present, the excess liquidity existing with the DMBs does not indicate any significant demand side pressure on the economy. However, with expected increase in economic activities in the coming months, the demand for credit may go up and if such a situation arises the policy stance would be to contain the demand side pressures without hurting the investment demand in the economy.

32. The monetary programme and consistent targets for reserve money (RM) and broad money (M2) expansion for FY08 would be set using the new targets for real GDP growth and inflation. The long term interest rates have already started to fall in the first half of FY08 despite high inflation. This shows lower inflationary expectations and is an indication of the prudent policy stance of BB. The overnight money market and other short term rates have experienced a remarkable stability and remained relatively unchanged. For liquidity management, BB would use appropriate policy instruments when needed.

33. The approach to dealing with RM growth would focus on ensuring more effective management of government borrowing from the banking system. In order to help reduce the pressure on RM growth and contain inflation within its targeted level, it would be prudent for the government to (i) progressively retire the borrowings from the BB; (ii) adopt and adhere to quarterly ceilings on borrowings from the BB; and (iii) gradually move towards a more balanced domestic debt strategy such that the budget deficit is financed through long term borrowing sources that are relatively less inflationary. BB, on its part, would increasingly encourage the banking sector to cater the credit needs of the productive sectors of the economy with special emphasis on agriculture and SMEs.

34. In the past, BB has urged the banks to reduce their lending rates and improve the situation so that the high cost of borrowing does not put undue pressure on investors. BB would continue its efforts to lower lending rates, increase competition among the financial intermediaries, and also urge the banks to use the excess liquidity to expand their credit operations. BB would continue to pursue strong monitoring and supervision measures so that financial institutions reduce administrative cost by improving managerial efficiency and reducing the burden of non-performing loans.

35. For successful implementation of the policy stance during H2 FY08, it would be critical to achieve greater fiscal and monetary coordination such that the imperatives of the monetary policy stance are clearly recognized within the policy framework and the relevant policy parameters are aligned with their projected values ensuring macroeconomic stability and rapid growth.

36. The monetary management in H2 FY08 would no doubt be complicated and demanding, especially as a consequence of the adverse impact of the supply side factors

(particularly that of natural disasters and high and volatile international prices), and potentially rising demand pressure especially through the strong growth of workers' remittances. BB would monitor the implementation of the policy stance on a regular basis and would take appropriate measures, as and when needed, to mitigate the risk of adverse implications to proper monetary management.

37. BB's role in developing the primary and secondary markets for government securities will be further strengthened, including measures to improve the roles of primary dealers and banks.

38. The primary challenge of the monetary policy stance for H2 FY08 remains the achievement of the targeted rates of economic growth and CPI inflation. Although the BB is determined to take all necessary measures within its monetary framework to achieve the targets, BB is also conscious of certain factors that pose internal and external challenges and downside risks towards achieving the desired outcomes.

39. Rapid and effective measures of rehabilitation in the flood and cyclone affected areas are crucial such that the adverse impact of the disasters are mitigated within the shortest possible time, production losses are recouped at least partly, and the supply of agricultural and other products increases to create positive effect on food and other essential commodity prices.

40. There are several factors that would be critical to effective monetary management under the policy stance during H2 FY08: (i) re-evaluation of the present subsidy policy as a consequence of rapidly escalating subsidies on energy products due to surging oil prices in the global market; (ii) power, transport, and other infrastructure constraints affecting production and other economic activities; (iii) business confidence to accelerate private sector investments and production activities; (iv) impact of phasing out of restrictions in 2008 on textile exports of China; and (v) reasonable socio-political stability, and continuity of policies in the backdrop of general elections scheduled in late 2008.

41. BB, on its part, would remain vigilant regarding the above and any other unexpected developments and unfolding situations. The availability of new data and information may necessitate the revision and adaptation of some of the monetary instruments presented in this MPS using the flexible framework of the monetary policy stance for the period H2 of FY08 with the aim to promote rapid growth with price stability and support accelerated pace of employment creation and income generation for the people of Bangladesh.